

Instructions

Complete each problem before reading the solutions. Assume

all conditions for the z-test are met and use the given σ values.

Problems

1. **Credit Card Spending.** Historical average monthly

spending is \$520 with $\sigma = \$60$. A sample of 49 customers averages \$538. Test at $\alpha = 0.05$ whether spending changed.

t

C

a
r

d

S

p
e

n
d

i
n

g
.

*
*

H

i

s

t

o

r

i

c

a

l

a

v

e

r

a

g

e

m

o

n

t

h

l

y

s

p

e

n

d

i

n

g

i

s

\$

5 .